Chandrasekaran confirms that the promoter company, Tata Sons, was not taken into confidence when the decision on the acquisition was made. ‘This was wrong,’ he comments. ‘Tata Sons felt that it was a fait accompli.’ The acquisition also resulted in a sudden surge in debt. Chandrasekaran says that Tata Sons cannot be ignored in such a transaction. In view of the debt especially, Tata Power would have to approach Tata Sons for equity infusion, sooner than later. ‘Let us make no mistake about it,’ he adds.

Though Chandrasekaran does not directly comment further on the question of the price, he nevertheless says that ‘we do not have all the answers’ to the questions that were raised at the time. He adds, ‘[The] Welspun [acquisition] irked a lot of people’ and opines, ‘If the Articles of Association required you to do so [disclose details of the deal], it should have been done. There is already distrust, on the top of it, you’re the only member [there was no other member of the Tata Sons board on the Tata Power board] and then if you do not inform [Tata Sons], you are creating further distrust.’

There were also other significant areas of friction, such as the issue of Tata Motors being run down by Mistry himself. He apparently went about demoralizing the company management stating, ‘Everything was going downhill’.

Another contentious issue was the creation of a GEC that would report only to the chairman. In comparison, under Ratan, the members of the GEC were usually also on the board of Tata Sons and hence accountable to it too. This added to the perception that Mistry took major decisions virtually on his own.

During Mistry’s tenure, the GEC also earned notoriety for attempting to shepherd the strategic direction of various companies. The Tatas are a traditional group and the new GEC’s lack of experience and style of functioning could not earn it the respect that the body had commanded under Ratan.

Another factor was that the new council members, who became Mistry’s key advisors and part of his core group, were mainly outsiders with little or no experience in industry. Under Ratan, the GEC was headed by highly respected, experienced and battle-hardened veterans such as R.K. Krishna Kumar, N.A. Soonawala, J.J. Irani and R. Gopalakrishnan. In comparison, the GEC under Mistry lacked the experience to earn the respect of the senior Tata functionaries. The age of the five new GEC members (N.S.